City of San Mateo
City Attorney's Office
(650) 522-7020

330 W. 20th Avenue
San Mateo, CA 94403
www.cityofsanmateo.org

City Attorney's Impartial Analysis of Measure __

The City of San Mateo currently imposes a transactions and use tax, commonly known as a sales tax, of 0.25%. If voters approve Measure __, it would increase this tax from 0.25% to 0.50%. A 0.25% increase amounts to an extra 25 cents per $100 purchased. The additional 0.25% sales tax would remain in effect until voters end it. Measure __ will be adopted if approved by a majority of voters voting on it.

If voters approve it, the proposed tax is estimated to generate approximately $7 million a year in locally controlled funding. Measure __ would be a general tax, which means that the tax revenue could be spent for any City purpose, which includes maintenance of local streets, parks, and other infrastructure, as well as police, fire, paramedic, crime prevention, 9-1-1 emergency response, and traffic safety improvements. The tax would not apply to groceries or prescription medication, among other exceptions provided by state law.

Under state law, the combined rate of all such taxes imposed by the City and San Mateo County is capped at 2%, and there is remaining capacity within this cap of one-quarter percent (0.25%). The City is authorized to impose this tax with voter approval. On July 20, 2026, the San Mateo City Council voted to place Measure __ on the ballot.

The State would collect tax revenue under a contract with the City, and pay it to the City. Measure __ would require an annual audit and provide for a committee of five members of the public to review and report on receipts and spending of tax proceeds.

If voters approve it, the tax would be collected starting with the first day of the calendar quarter starting 110 days after the City Council certifies election results.

A YES vote approves the measure.

A NO vote rejects the measure.

[redacted]

Prasanna W. Rasiah
City Attorney